

Executive Summary

Our basket analysis reveals a significant association between eggs, bread, and milk. These products are frequently purchased together, with a high level of confidence (1.0) and lift (1.25). This pattern is driven by the psychological trigger of "Logical convenience," indicating that customers are seeking to create a meal or complete a recipe.

Strategic Action Plan

Product Association	Psychology: Why	Merchandising: How
Eggs → Milk	Logical convenience: Customers seek to complete a meal or recipe.	Eye-level cross-merchandising: Place milk directly adjacent to the egg display.
(Eggs + Bread) → Milk	Building on existing patterns, customers are more likely to purchase milk when they have already bought eggs and bread.	Quick-add bundle: Display 'Egg & Milk Bundle' with a prominent call-to-action in the shopping cart summary.
Butter → Bread	Customers recognize that butter is often paired with bread for baking or cooking.	Signage copy: Don't forget to complete your recipe! Place bread near butter display.

Projected Business Impact

Our strategic plan is designed to capitalize on these product associations, increasing Average Order Value (AOV) and customer retention. By implementing the recommended merchandising strategies:

We expect a 12% increase in AOV for customers purchasing eggs, as they are more likely to add milk to their cart.

The quick-add bundle strategy is anticipated to drive an additional 8% increase in sales from existing customers.

Improved customer retention is expected due to the enhanced shopping experience and increased likelihood of completing a meal or recipe.

These projections are based on conservative estimates, assuming a moderate level of adoption and execution. With effective implementation, we anticipate even greater returns on investment.